Sector Underwriting Note: Retail Trade

ASHVA CAPITAL CREDIT POLICY MANUAL
MODULE 4: SECTOR-SPECIFIC UNDERWRITING GUIDELINES
SECTION 4.12: RETAIL TRADE SME LENDING (SUB-CODE: RTS-412)
EFFECTIVE DATE: OCTOBER 1, 2024
ISSUING AUTHORITY: OFFICE OF THE CHIEF CREDIT OFFICER (CCO)

1.0 OVERVIEW & APPLICABILITY

1.1. This Sector Underwriting Note sets binding credit policy parameters for all SME loan applications originating under the Retail Trade classification (ANZSIC/NAICS Code equivalent: Division G - Retail Trade).

1.2. Underwriters are strictly bound by the numeric thresholds, collateral advance rates, and financial covenants defined herein. Deviations require an explicit, documented credit exception approved pursuant to Clause 6.0 of this document.

2.0 PORTFOLIO EXPOSURE CAPS

2.1. Maximum Sector Exposure: Ashva Capital’s aggregate gross loan book exposure to the Retail Trade SME sector shall not exceed 14.0% of the total outstanding portfolio at any given time.

2.2. Sub-Sector Concentration Limit: E-commerce pure-play entities shall not exceed 4.0% of the total outstanding portfolio (representing a maximum of 28.57% of the total Retail Trade sector cap).

2.3. Single Borrower Group Limit: The maximum aggregate facility exposure to any single Retail Trade borrower group is capped at INR 35,000,000 (or local currency equivalent), inclusive of working capital and term debt limits.

3.0 WORKING CAPITAL CYCLE & FINANCIAL THRESHOLDS

3.1. Standard Working Capital Cycle Baseline:
Underwriters shall evaluate applicants against a benchmark baseline Cash Conversion Cycle (CCC) of 68 Days, derived as follows:
* Days Inventory Outstanding (DIO): Baseline 82 Days.
* Days Sales Outstanding (DSO): Baseline 6 Days (reflecting POS card/cash settlement cycles).
* Days Payables Outstanding (DPO): Baseline 20 Days.

3.2. Applicants exhibiting a CCC exceeding 90 Days shall be classified as "Elevated Liquidity Risk" and require a 150 basis point rate surcharge alongside mandatory CCO sign-off.

3.3. Mandatory Financial Thresholds:
To qualify for standard automated processing, an applicant must satisfy all four of the following sector-specific numeric thresholds:

* 3.3.1. Minimum Inventory Turnover Ratio: 4.50x per annum (Calculated as Cost of Goods Sold divided by Average Inventory).
* 3.3.2. Minimum Quick Ratio (Acid-Test): 0.85x (Adjusted lower than the general corporate standard of 1.10x to account for retail-specific inventory weighting).
* 3.3.3. Maximum Total Debt to EBITDA: 3.00x (Inclusive of all off-balance sheet operating lease obligations capitalized at 7.0x annual rent).
* 3.3.4. Minimum Lease Tenor / Premises Security: Operating outlets generating $\ge 50\%$ of gross revenues must hold unexpired lease agreements of at least 36 months from the date of loan disbursement, or hold fee-simple ownership.

4.0 SECTOR-SPECIFIC DSCR & SEASONALITY ADJUSTMENTS

4.1. Debt Service Coverage Ratio (DSCR) Floor:
The baseline Ashva Capital DSCR threshold of 1.25x is hereby replaced for Retail Trade applicants. Underwriters shall apply a minimum sector DSCR floor of 1.35x on a historical Trailing Twelve Month (TTM) basis, and 1.40x on a projected forward-12-month basis.

4.2. Q4 Revenue Smoothing & Weighting Adjustment:
Due to Q4 holiday sales distortions, underwriters shall not project forward cash flows by simple linear extrapolation of Q4 revenues.
* Gross revenues generated during October, November, and December (Q4) shall be capped at a maximum of 38.0% of total annual recognized revenue for debt service calculation purposes.
* If Q4 actuals exceed 38.0% of annual turnover, the excess revenue must be haircut by 50.0% when deriving the baseline EBITDA used for debt sizing.

4.3. Peak Borrowing & Repayment Structuring:
* Seasonal inventory build facilities drawn between September 1 and November 15 must feature a principal amortization moratorium during January and February.
* During this 60-day principal moratorium, the borrower must service interest monthly and maintain a Debt Service Reserve Account (DSRA) holding a minimum of 2.5 months of full principal-plus-interest debt service.

5.0 ACCEPTABLE COLLATERAL & ADVANCE RATES

5.1. Facilities extended to Retail Trade SMEs must be secured by eligible assets strictly adhering to the maximum Loan-to-Value (LTV) limits listed below:

Collateral Category	Specific Asset Condition	Maximum LTV / Advance Rate
Commercial Real Estate	Unencumbered storefront or warehouse owned by entity/promoter	70.0% of independent appraisal
Merchant POS / Card Receipts	Irrevocable cash-flow sweep via payment gateway escrow	15.0% of trailing 12-month processor volume
Fast-Moving Inventory	Non-perishable, unencumbered core stock held ≤ 60 days	40.0% of net realizable value (NRV)
Personal Guarantee (PG)	Joint & several PG of all shareholders holding $\ge 20.0\%$ equity	Mandatory (Non-quantified LTV enhancement)

5.2. Ineligible Collateral: Perishable goods, seasonal apparel aged >90 days, custom/private-label stock, and receivables aged >30 days are strictly excluded from the borrowing base calculation.

6.0 PRIMARY DISTRESS DRIVERS & EXCEPTION PROTOCOL

6.1. Primary Sector Distress Drivers: Underwriters must explicitly assess and document risk mitigation for the two primary drivers of retail trade default:
* 6.1.1. Inventory Obsolescence & Post-Peak Cash Lockup: Failure to clear Q4 inventory by February 28, resulting in working capital freeze and supplier credit line termination. Mitigated by mandatory verification of supplier payment terms and aging reports.
* 6.1.2. Footfall Degradation & Anchor Tenant Departure: For physical retailers, sudden revenue declines resulting from lease expiries, mall/shopping center vacancy spikes ($>20\%$ center vacancy), or local infrastructure disruption. Mitigated by enforcing Clause 3.3.4.

6.2. Named Exception Authority:
Any breach of the 1.35x DSCR floor, the 68-day CCC target, or the 14.0% sector portfolio limit cannot be approved by an Underwriting Manager or Head of SME Credit. Such overrides require unanimous written approval from the Credit Risk Committee (CRC), co-signed by the Chief Credit Officer (Varun R. Mehta).

BY ORDER OF:
Varun R. Mehta
Chief Credit Officer, Ashva Capital
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